Annuity Market Deep Dive — 年金市场深度调研

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1. Market Overview & Sales Data

1.1 Total US Retail Annuity Sales

Year	Total Sales	YoY Growth	Record?	Source
2023	~$385B	—	—	LIMRA
2024	**$434.1B**	**+13%**	3rd consecutive	LIMRA
2025	**$464.1B**	**+6%**	4th consecutive	LIMRA

24/25 milestone: 9 consecutive quarters above $100B.

1.2 Product Mix (2024 vs 2025)

Product	2024 Sales	2025 Sales	Trend	Rate Sensitivity
FIA (Fixed Index)	~$97B	**$128.2B** (+1%)	5yr growth	Medium
RILA (Registered IL)	$65.6B	**~$79.6B** (+20%)	11yr record	Low (equity-linked)
MYGA / FRD	$40B+/qtr	$35–40B/qtr	Late 2024 slowdown	**High**
Indexed share	~36%	**45%**	Up from 24% decade ago	—

Source: LIMRA Final 2025, Insurance Business Mag

1.3 Distribution Channel Mix (2024–2025)

Channel	Share	Dominant Product	2025 Trend
Independent Broker-Dealer	**24%**	RILA, VA	Largest single channel
Independent Agents	**22%**	FIA	Growing share
Banks / Bancassurance	~15%	MYGA / FRD	Record year
Wirehouse	~12%	RILA	**+18% total**, RILA +37% (fastest)

Regional BDs	~8%	Mixed	Stable
Direct / Online	<5%	D2C emerging	Small but growing

Sources: III Distribution, InsuranceNewsNet

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2. Demand Drivers Analysis

2.1 Key Question

How much of the fixed annuity surge is driven by interest rates vs. distribution expansion vs. product innovation vs. household reallocation?

2.2 Factor Attribution

Factor	Weight	Evidence
Interest rates	**High** (MYGA > FIA > RILA)	FRD/MYGA highly correlated with rate moves; slowed when rates fell in H2 2024. FIA + RILA grew despite rate changes — not purely rate-driven
Channel expansion	**Med-High**	Banks + Wirehouses both hit records; more advisors selling annuities
Product innovation	**Medium**	Indexed products share 24% → 45% over decade; RILA 11 straight record years
Aging demographics	**Structural**	10,000 Americans turn 65 daily; supports long-term demand floor
Household reallocation	**Medium**	MMF parked record $6.6T (2024); deposit-type contracts +30% (NAIC). But gross sales ≠ net new flows

2.3 Key Insight

The data suggests **no single driver dominates** — the surge is multi-causal. The rise of indexed products (FIA+RILA) to 45% of market share represents a genuine **structural shift** beyond the rate cycle. However, gross sales numbers significantly overstate real net new money flows.

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3. Structural vs Cyclical Shift

3.1 The Central Tension

Is this a permanent migration of household assets to insurance balance sheets, or a temporary arbitrage of rate-sensitive money?

3.2 Fund Flows: Gross Sales vs. Net Inflows

Metric	2025 Figure	Implication
Gross annuity sales	**$464.1B**	Includes replacement churn; inflated

Net annuity inflows	"Much more modest"	Gap between gross and net is wide (Retirement Income Journal)
MMF peak AUM	**$6.6T** (Jul 2024)	Massive cash side-lined
Deposit-type contract growth	**+30% ($51B)** (NAIC 2025 mid)	Money flowing into insurance

Sources: OFR Blog, NAIC Mid-2025, RIJ

3.3 Persistency / Retention Rates

Product Line	Retention Rate	Change	Source
Deposit-type contracts	**~95%**	Stable	NAIC 2025 Mid
Life insurance	59%	-4pp	NAIC 2025 Mid
A&H (Accident & Health)	70%	-2pp	NAIC 2025 Mid

Detail: LIMRA persistency data by policy year is behind a paywall; detailed surrender rates by product type not publicly available.

3.4 Verdict

> ***"Structural shift with cyclical tailwinds"***

- **MYGA/FRD**: Largely **cyclical** — rate-sensitive, vulnerable to rate reversals
- **FIA/RILA**: More **structural** — product innovation + demography + downside protection
- **Gross sales are misleading**: the gap between gross ($464B) and net inflows is far wider than most casual observers realize
- **95% retention** on deposit-type contracts suggests sticky money once in

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4. Private Capital Entry

4.1 The PE Playbook

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Step 1: Acquire / control a US life insurer
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Step 2: Reinsure annuity blocks to Bermuda affiliate
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Step 3: US statutory capital released (RBC ratio improves)
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Step 4: Freed-up capital → write more business → repeat
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4.2 Major Deals

Acquirer	Target / Deal	Year	Size	Significance
Apollo	Athene (full acquisition)	2021	~$11B	Industry template creator

KKR	Global Atlantic (remaining 37%)	2024	$2.7B	Full ownership, replicating Apollo model
Blackstone	Allstate Life	2021	$2.8B	Entry into insurance
Blackstone	AIG / Corebridge (9.9% + mgmt mandate)	2021	$2.2B + $50-92B AUM	Asset manager + insurer deep bundling
Blackstone	Legal & General partnership	2025	~$20B	Transatlantic insurance-AM collaboration
Bain Capital	Lincoln Financial (9.9%)	2025	undisclosed	Traditional insurer opens door to PE

Sources: HBS Paper, AI-CIO, Bloomberg

4.3 The Bermuda Arbitrage — Detailed Mechanics

C-3 Phase II (US NAIC):

- Risk-based capital framework for asset-intensive life/annuity products
- Combines asset-side risk (rates, credit) + liability-side risk (longevity, lapse, guarantees)
- Typically requires ~15% capital per dollar of liability for FIA blocks (stylized)

Bermuda BSCR:

- Risk-based but typically **less punitive** on long-duration, low-volatility blocks
- Allows sidecar vehicles to bring in third-party capital

Stylized Capital Comparison:

Calculation	US (C-3 Phase II)	Bermuda (BSCR)
Liability block (statutory)	$100	$100
Required capital	**$15**	**~$8–10**
Capital released	—	**$5–7**

Sources: Academy of Actuaries, FT, RIJ, Moody's

4.4 Deeper Economics

Beyond regulatory arbitrage, PE firms are after:

1. **Permanent capital** — annuity liabilities are 10-30 year sticky money; ideal for funding illiquid asset strategies
2. **Fee stacking** — Apollo earns both AUM fees (Asset Management) AND insurance profits (Retirement Services)
3. **Asset-liability synergy** — PE-owned insurers can invest in PE-managed funds → self-dealing loop
4. **Scale amplification** — more liabilities → more AUM → more fees → more capital → more liabilities

4.5 Regulatory Pushback

- **NAIC**: Tightening offshore reinsurance reserve credit rules; demanding more disclosure
- **Bloomberg (2025)**: "The Offshoring of America's Retirement Savings" — US policyholders may lose state guarantee fund protection

- **Moody's**: "New investment vehicles with unclear regulatory treatment... pushing regulators to increase scrutiny"
- **NAIC Comment Letters**: Specific concerns about Athene's related-party investments and RBC reporting

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5. Private Credit Linkage

5.1 The Structural Match

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Annuity Liabilities (Right Side)     Private Credit Assets (Left Side)
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  Duration: 10-30 years                Duration: 5-15 years
  Predictable cash flows               Higher coupon / spread
  Low liquidity demand                 Illiquid, opaque pricing
  (few simultaneous surrenders)        No continuous market
  → Need stable yield                  → Offer premium over publics
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This match is **structurally aligned by design** — not accidental.

5.2 Revenue Evidence

Athene (Apollo 10-K, 2024):

- Retirement Services net investment income: **$11.5B**
- Athene alternative portfolio return: **8.0%** (2024)
- Apollo total inflows: **$71B** (including funding agreements)

5.3 NAIC Regulatory Changes (2025–2026)

Change	Details	Timeline
Rating override authority	NAIC/states can override third-party ratings	Summer 2025
Schedule BA capital charges	Higher RBC factors for private debt / equity-like	2026
CLO tranche-specific factors	IG: single-digit → Ba/B: **12–70%+**	Proposed (2027)
JV/LLC equity charges	6.8% → **30%**	Under review
Private placement disclosure	More granular reporting required	2026

Sources: Troutman, JP Morgan NAIC Summer 2025, Dechert NAIC Spring 2026

5.4 Rating Agency Warnings

Agency	Key Concern
A.M. Best	Governance, valuation, and liquidity risk rising; affiliated/PE assets signal elevated risk
S&P	Duration mismatch, valuation uncertainty, RBC strain from illiquid alternatives
PwC	Private asset volatility reshaping risk exposure across capital, liquidity, and regulation

Source: A.M. Best News, PwC

5.5 Three Systemic Risks

Risk	Description
Hidden leverage	Solo-entity ratios look fine; consolidated through JVs/CLOs can be multiples higher
Liquidity risk	No market price → losses surface late. Forced selling in stress × illiquid assets = dangerous
Concentration / conflict	Related-party transactions: PE firm manages money → invests in own funds → via captive insurer → self-dealing loop

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6. Synthesis & Watch List

6.1 The Chain

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Higher rates → Annuity yields attractive → MYGA boom (cyclical)
                                          → FIA/RILA growth (structural)
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PE firms acquire insurers → Bermuda reinsurance → capital relief → scale up
                                                 |
Freed capital → private credit investment → higher yield → support better pricing → loop
                                                 |
Regulators (NAIC, AM Best, Moody's) tighten → cost of structure rises
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6.2 Key Risks to Monitor

Risk Event	Impact Channel
Rate reversal → MYGA outflows	Lapse spike; liquidity strain
NAIC Bermuda crackdown → reserve credit limited	PE insurance model economics break
Private credit repricing (like 2022 LDI)	Margin calls; capital erosion; forced asset sales
Replacement share clarified → gross sales myth	Market perception shifts from "record" to "churn"
FSOC / Fed systemic designation	Higher capital requirements for PE-owned insurers

6.3 Open Questions

1. What is the **real net new flow** number (gross sales minus replacement)?
2. How much of the Bermuda capital relief is **already priced into** Athene / KKR valuations?
3. If CLO capital charges go to 70% for below-IG tranches, how many PE-owned insurers need to **re-engineer portfolios**?
4. Does the **95% deposit-type retention** rate hold when rates fall 200bp?

Data Sources Index

Source	Type	Topics

LIMRA Newsroom	Industry data	Sales, channels, persistency
NAIC Industry Analysis	Regulatory	Retention, deposit funds
NAIC Private Credit Topic	Regulatory	Capital charges, rules
OFR Blog	Official	MMF flows, cash parking
A.M. Best	Rating agency	Insurer credit quality
III Distribution	Industry	Channel breakdown
HBS Paper (26-008)	Academic	PE permanent capital
Bloomberg Investigation	Journalism	Bermuda, regulatory arbitrage
FT	Journalism	Apollo Bermuda engineering
Academy of Actuaries	Professional	Bermuda reinsurance mechanics
Retirement Income Journal	Trade	Net vs gross flow critique
InsuranceNewsNet	Trade	Channel data 2025
Dechert NAIC Spring 2026	Law firm	CLO capital charges

> *This report was generated via Claude Code using Perplexity MCP research tools. Data sourced from LIMRA, NAIC, A.M. Best, Moody's, OFR, and industry news sources. All figures are from publicly available sources as of May 2026.*